

Annexure H

Business Responsibility and Sustainability Report

Section A: General Disclosures

I. Details of the listed entity

1.	Corporate Identity Number (CIN):	L29120TZ1960PLC000351
2.	Name of the Listed Entity:	ELGI EQUIPMENTS LIMITED
3.	Year of incorporation:	1960
4.	Registered office address:	Elgi Industrial Complex III Trichy Road, Singanallur Coimbatore -641 005
5.	Corporate address:	Elgi Industrial Complex III Trichy Road, Singanallur Coimbatore -641 005
6.	E-mail id:	investor@elgi.com
7.	Telephone:	0422-2589555
8.	Website:	www.elgi.com
9.	Financial year for which reporting is being done:	2022-23
10.	Name of the Stock Exchange(s) where shares are listed:	BSE Limited and National Stock Exchange of India Ltd
11.	Paid-up Capital:	31,69,09,016/-
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report:	Mr. Shyam Vasudevan Vice-President, Legal & Secretarial 0422-2589555 E-Mail: shyamv@elgi.com
13.	Reporting boundary: Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Disclosures made in this report are on a standalone basis and pertain only to Elgi Equipments Limited ("Elgi/Company").

II. Products/services

14. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Manufacture of Air compressors	Electrical equipment, general purpose and special purpose machinery & equipment	100%

15. Products/Services sold by the entity (accounting for 90% of the entity's Turnover)

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1.	Air Compressors	2813 - Manufacture of Compressors	100%

III. Operations

16. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	5	2	7
International	Reported only for standalone entity, i.e, ELGi Equipments Ltd, India		

17. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	All states in India are served by the Company.
International (No. of Countries)	As the Company is reporting only for standalone India entity, we are not naming any other country, but the Company exports its products to more than 100 countries.

b. What is the contribution of exports as a percentage of the total turnover of the entity?

30.04%

c. A brief on types of customers

The Air Compressors are used in all manufacturing and process industries heavily in their operations. Therefore, all industrial segments are being served.

18. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1	Permanent (D)	849	796	94%	53	6%
2	Other than Permanent (E)	-	-	-	-	-
3	Total employees (D + E)	849	796	94%	53	6%
WORKERS						
4	Permanent (F)	409	409	100%	-	-
5	Other than Permanent (G)	79	49	62%	30	38%
6	Total workers (F + G)	488	458	94%	30	6%

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1	Permanent (D)	-	-	-	-	-
2	Other than Permanent (E)	-	-	-	-	-
3	Total employees (D + E)	-	-	-	-	-
WORKERS						
4	Permanent (F)	1	1	100%	-	-
5	Other than Permanent (G)	-	-	-	-	-
6	Total workers (F + G)	1	1	100%	-	-

19. Participation/Inclusion/Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	9	1	11.11
Key Management Personnel	3	-	-

20. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

	FY 2022-23 (Turnover rate in current FY)			FY 2021-22 (Turnover rate in previous FY)			FY 2020-21 (Turnover rate in the year prior to the previous FY)		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	14%	1%	15%	13%	0.5%	13.5%	8%	1%	9%
Permanent Workers	7%	-	7%	5%	-	5%	12%	-	12%

IV. Holding, Subsidiary and Associate Companies (including joint ventures)**21. a. Names of holding/subsidiary/associate companies/joint ventures**

S. No.	Name of the holding/subsidiary/associate companies/joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	ELGI GULF FZE	Subsidiary	100	No
2	Elgi Compressors Do Brasil Imp E Exp Ltda	Subsidiary	100	No
3	Elgi Equipments Australia Pty Ltd	Subsidiary	100	No
4	Industrial Air Compressors Pty Ltd	Subsidiary	100	No
5	F.R.Pulford & Son Pty Ltd	Subsidiary	100	No
6	Advanced Air Compressors Pty Ltd	Subsidiary	100	No
7	Elgi Compressors Italy S.R.L	Subsidiary	100	No
8	Rotair SPA	Subsidiary	100	No
9	Elgi Compressors Europe S.R.L	Subsidiary	100	No
10	Elgi Compressors USA Inc	Subsidiary	100	No
11	Pattons Inc	Subsidiary	100	No
12	Pattons Medicals LLC	Subsidiary	100	No
13	PT Elgi Equipments Indonesia	Subsidiary	100	No
14	ATS Elgi Limited	Subsidiary	100	No
15	Adisons Precision Instruments Mfg.Co.Ltd	Subsidiary	100	No
16	Ergo Design Private Limited	Subsidiary	100	No
17	Elgi Compressors Southern Europe SRL	Subsidiary	100	No
18	Michigan Air Solutions LLC	Subsidiary	100	No
19	Elgi Compressors (M) SDN. BHD.	Subsidiary	100	No
20	Elgi Compressors Iberia S.L	Subsidiary	100	No
21	Elgi Compressors Nordics	Subsidiary	100	No
22	Elgi Compressors Eastern Europe SP. Z. O. O.	Subsidiary	100	No
23	Elgi Compressors France SAS	Subsidiary	100	No
24	Elgi Compressors UK and Ireland Limited	Subsidiary	100	No

S. No.	Name of the holding/subsidiary/associate companies/joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
25	Elgi Gulf Mechanical and Engineering Equipment Trading LLC	Subsidiary*	49	No
26	Pattons Of California LLC	Joint Venture	50	No
27	G3 Compressors LLC	Joint Venture	33.33	No
28	Gentex Air Solutions LLC	Joint Venture	33.33	No
29	Evergreen Compressed Air & Vacuum LLC	Joint Venture	50	No
30	Compressed Air Solutions of Texas LLC	Joint Venture	50	No
31	Pla Holding Company LLC	Joint Venture	50	No
32	CS Industrial Services LLC	Joint Venture	33.33	No
33	Elgi Sauer Compressors Ltd	Joint Venture	26	No
34	Industrial Air Solutions LLP	Associate	50	No
35	Elgi Compressors Vietnam LLC	Subsidiary	100	No

*As per Ind AS

V. CSR Details

22. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No) Yes

(ii) Turnover (in ₹): 17,566 Mn

(iii) Net worth (in ₹): 12,220 Mn

VI. Transparency and Disclosures Compliances

23. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2022-23 Current Financial Year			FY 2021-22 Previous Financial Year		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	No	None			None		
Investors (other than shareholders)	The Company does not have any investors other than shareholders	None			None		
Shareholders	Yes. Complaints received through SEBI SCORES platform and investor mail id of the Company is resolved within the prescribed timelines. www.scores.gov.in/admin	None			None		
Employees and workers	Yes, through the Whistle blower Policy. https://www.elgi.com/in/policies/wb-policy.pdf	2	-	-	None		
Customers	Through an intranet portal called "Customer Care Support" specially created for them. Hence, web link cannot be provided.	-	-	There are no open complaints unresolved are of serious nature	-	-	There are no open complaints unresolved are of serious nature
Value Chain Partners	Whistle Blower Policy. https://www.elgi.com/in/policies/wb-policy.pdf	None			None		
Other (please specify)							

24. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S.No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Resource Neutral Operations	Opportunity	- CO2 emission reduction from 900 Kg Co2/INR Mn of Sale to 650 Kg Co2/INR Mn of Sale - Fresh water reduction from 2.20 KL/INR Mn of Sale to 1.10 KL/INR Mn of Sale	-	Positive Implications
2	Product Stewardship	Opportunity	Foundry waste sand Zero land fill (ZLF)-225 Kg of foundry waste sand generation/Ton of casting used as a Bi-product (Solid blocks, bricks, concrete blocks)	-	Positive implications
3	Stay committed to Human Rights	Opportunity	Human Rights training	Online training to employees on human rights has been completed	Positive implications
4	Aiming for LTIFR -Zero	Opportunity	Lost Time injury frequency rate (LTIFR) LTIFR reduced from 0.27 to Zero	-	Positive implications
5	Equipping employees with the knowledge and skills	Opportunity	Equip the employees with skill sets and competencies all functions covering BC and employees-4 man days per year	-	Positive implications
6	Building a diverse and inclusive workforce	Opportunity	20% women employees in staff category	-	Positive implications
7	Accountability, Ethics & Integrity	Opportunity	- Inclusive ESG Governance - Sustaining an ethical business environment for stakeholders	-	Positive implications

Section B: Management and Process Disclosures

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

The National Guidelines for Responsible Business Conduct (NGRBC) as prescribed by the Ministry of Corporate Affairs advocates nine principles referred to as P1-P9 as given below:

P1	Business ethics	Business should conduct and govern themselves with integrity, ethics, transparency, and accountability
P2	Product responsibility	Businesses should provide goods and services in a manner that is sustainable and safe
P3	Wellbeing of employees	Businesses should promote the well-being of all employees, including those in value chain
P4	Stakeholder engagement	Businesses should respect the interests of and be responsive towards all the stakeholders
P5	Human rights	Businesses should respect and promote human rights
P6	Environment	Business should respect, protect, and make efforts to restore the environment
P7	Public policy	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible and transparent manner
P8	CSR	Businesses should support inclusive growth and equitable Development
P9	Customer relations	Businesses should engage with and provide value to their customers and consumers in a responsible manner

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	-	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	N	N	N	Y	N	-	Y	N
c. Web Link of the Policies*, if available	*Please see below for details								
2. Whether the entity has translated the policy into procedures. (Yes/No)	Work In Progress								
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	N	N	N	N	N	-	N	N
4. Name of the national and international codes/certifications/ labels/standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	For some of the Principles, the Company has international standard certifications such as: • ISO 9001: 2015 • ISO 14001: 2015 • ISO 45001: 2018 • ISO 50001: 2018 • ISO 22000: 2018 • ISO/TS 22163: 2017 • ISO 27001								

Disclosure Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
	International Product Certifications: • CE Marking for EPSAC models - Europe • ASME for Pressure Tank - USA • SONCAP for All ELGi Products - Nigeria • Module H - PED for Pressure Tank - Europe • SPVD – Pressure tanks - Europe • UL-cUL for Control Panel - USA • DOSH for Pressure Tanks - Malaysia • Module H - PED for casting Tank - Europe • NB for Pressure Tank - USA • AD 2000 - MERKBLAT W0 for Foundry Materials - Europe • ISI for Bore well compressors - India • SOL for All ELGi Products - Kenya/Uganda/Tanzania/Saudi Arabia/Gabon/Ivory cost • Green product certification - Malaysia • Inmetro certification - Brazil • ISI for motor - India • UKCA								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	-								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	-								
Governance, leadership and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	Refer note below #								
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy(ies).	Managing Director								
9. Does the entity have a specified Committee of the Board/Director responsible for decision making on sustainability related issues? (Yes/No). If yes, provide details.	Jairam Varadaraj, Managing Director								

* Web Link of the Policies

	Principle	Policies required under the Principle	Policies available with ELGi
P1	Business should conduct and govern themselves with integrity, ethics, transparency, and accountability	Elgi Code of Business Conduct and Business Ethics Whistle Blower Policy Policy for Determining Materiality of Events Anti-Bribery and Anti-Corruption Policy Anti-Money Laundering Policy Anti-Slavery and Anti-Human Trafficking Statement Integrity Policy Code of Conduct for Employees	Elgi Code of Business Conduct and Business Ethics https://www.elgi.com/in/policies/code-of-conduct.pdf Whistle Blower Policy https://www.elgi.com/in/policies/wb-policy.pdf Policy for Determining Materiality of Events https://www.elgi.com/in/policies/materiality-policy.pdf Supplier code of conduct https://www.elgi.com/in/policies/supplier-code.pdf Policy on Human rights https://www.elgi.com/in/policies/hr-policy.pdf Anti-bribery policy https://www.elgi.com/in/policies/antibribery-policy.pdf
P2	Product responsibility	Energy Policy Quality policy Health, Safety and Environment Policy	Energy Policy https://www.elgi.com/in/policies/energy-policy.pdf Quality policy https://www.elgi.com/in/policies/quality-policy.pdf Health, Safety and Environment Policy https://www.elgi.com/in/policies/hse-policy.pdf
P3	Wellbeing of employees	Whistle Blower Policy Equal Employment Opportunity Policy Employee Loan Policy Employee Health Check up Policy	Whistle Blower Policy https://www.elgi.com/in/policies/wb-policy.pdf Equal Employment Opportunity Policy Employee Loan Policy Employee Health Check up Policy <i>(Other than first one, other policies are available in the Company's intranet)</i>
P4	Stakeholder engagement	Corporate Social Responsibility Policy Dividend Policy Elgi Code of Business Conduct and Business Ethics	Corporate Social Responsibility Policy https://www.elgi.com/in/policies/csr-policy.pdf Dividend Policy https://www.elgi.com/in/policies/dividend-policy.pdf Elgi Code of Business Conduct and Business Ethics https://www.elgi.com/in/policies/code-of-conduct.pdf
P5	Human rights	Human Rights Policy Policy against sexual harassment	Human Rights Policy https://www.elgi.com/in/policies/hr-policy.pdf Policy against sexual harassment

	Principle	Policies required under the Principle	Policies available with ELGi
P6	Environment	Health, Safety and Environment Policy Energy Policy Quality Policy	Health, Safety and Environment Policy https://www.elgi.com/in/policies/hse-policy.pdf Energy Policy https://www.elgi.com/in/policies/energy-policy.pdf Quality policy https://www.elgi.com/in/policies/quality-policy.pdf
P7	Public policy		The Company does not directly engage in lobbying or advocacy activities and hence, does not have a specific policy for this purpose.
P8	CSR	Corporate Social Responsibility Policy	The Company's Corporate Social Responsibility policy to the maximum extent possible encompasses activities focused on education and the marginalized and vulnerable sections of the society. The Company contributes to the overall development with a specific focus on disadvantaged, vulnerable and marginalized communities. Corporate Social Responsibility Policy https://www.elgi.com/in/policies/csr-policy.pdf
P9	Customer relations	The Company believes that businesses should engage with customers and provide value in a responsible manner.	The Company has an on-line system of addressing customer complaints that are attended to promptly. The Company has a strong customer care system in place with clear benchmarked targets for on time and reliable resolution with built escalation process. Since the complaints redressal mechanism is an on-going process, the number of complaints at any given point in time may not convey the correct picture. The Company strives to resolve all complaints to the satisfaction of its customers. For a Company of this size, the number of consumer cases are very minimal.

ESG goals and targets

Focus Area/Goals	Targets	Initiatives
Environment		
CO2 emission reduction by 25% in 2027	CO2 emission reduction from 900 Kg Co2/Mn of Sale to 650 Kg Co2/Mn of Sale by 2027	4 MW Solar Plant renewable energy will be utilized 16 HSD forklifts are planned to be replaced with electrical fork lifts - Mechanical Generators are planned to be executed to test the compressors with various volts and Hertz for LEP/OFSAC Compressors 7 MW Dedicated grid lines are planned to be installed to eliminate the DG Set operations for all manufacturing plants especially for Grid Power cut
Fresh water consumption reduction by 50% in 2027	Fresh water reduction from 2.20 KL/Mn of Sale to 1.10 KL/Mn of Sale	- Increase the share ratio of ground water to third party water, by using more water from government sources - Rain-water harvesting for gardening purpose - ETP treated water usage in gardening - Rain-water harvesting water can be filtered and used for internal application of 17500 KL/year which contributes 50% reduction of intake third party water - Application of water efficient aerators in conventional taps - Implementation of dish washers - Increasing the rain-water harvesting storage
Lead a technology driven transformation	Technology Product Innovation Availability of HFO based dryers in ELGi product range by 2030 Enhancement of existing products	- Continual product improvements to reduce lifecycle cost - Increase in life of oil filter by 2X - All manufacturing plants are certified for ISO 14024:2018 Standards (Green product certification)
Foundry waste sand Zero land fill (ZLF)	Waste Recycle-Foundry Waste Sand 225 Kg of foundry waste sand generation/Ton of casting used as a Bi-product (Solid blocks, bricks, concrete blocks)	- Sustain the efforts of brick making and support community development initiatives - Utilizing the wastes and for RCC concrete application - Converting and utilizing for interlock bricks
Social		
Aiming LTIFR -Zero	Lost Time injury frequency rate (LTIFR) LTIFR reduced from 0.69 to Zero	- Identification and mitigation of HIRA - All manufacturing plants are certified for ISO 45001:2018 Standards (Safety Management System) except motor plant - Separate Safety syllabus included in EVTS batch and conducting classes - Sustain the practice of identification and mitigation of HIRA - Safety tag system needs to be executed for SMT in shop floor at Sunrise meet - Identify the safety training need for workforce on a regular basis - Create awareness among employees on safety and accident Hot spots through training and safety circles. - Periodical Senior Management review

Focus Area/Goals	Targets	Initiatives
Sustaining an employee centric work culture	Employee Experience Enabling best in class work culture by sustaining and improving culture survey score to 80% by 2024 (industry standard of 73%)	- Proactive Grievance redressal process - Employee Engagement program - Two-way communication - High emphasis on adherence to values
Societal development through high-quality education for the economically challenged	Achieve academic excellence by improving subject average marks year on year in Std XII Board examinations Academic development through building competencies that enable achievement of high average of total marks year on year in Std XII Board examinations To increase the proportion of children from low-income families year on year	- The school attracts and retains teachers by benchmarking salaries to Govt scales - Continuous development of teacher capabilities - Inclusive, holistic education, focusing on all round development of every child - One time investment in world class infrastructure - Limiting class sizes to enable better teacher-student interactions - Free education for orphan children and children whose parents lost their jobs to covid - Scholarships for meritorious students from low-income families
Equip employees with the knowledge and skills to be Employee Training Address the identified training needs of office employees by deploying appropriate training initiatives by 2024#alwaysbetter	Employee Training Address the identified training needs of office employees by deploying appropriate training initiatives by 2024 Equip shop floor employees with identified skill enhancements and support upskilling	- Roll out of Learning Management System to bring in more effectiveness in Learning and Development cycle - Create culture of self-learning thru WBTs - Sharing of book summaries every fortnight
Stay committed to Human Rights	Human Rights Cognizance To create Company-wide awareness and organise Human Rights training programs by 2023	- Strengthening the culture to ensure the equality among all the employees globally irrespective of their gender, religion, race, region etc - Effective implementation of whistle blower policy and sexual harassment policy - Abiding by the law - Non-discrimination, Non-employment of child labour, adherence to Minimum wages, Environment related aspects
Building a diversified workforce	Gender Diversity By 2030, increase representation of women in the office workforce by 20%	- ELGi has a gender-neutral hiring policy - Recruitment plan to have diversified workforce in the organization

Focus Area/Goals	Targets	Initiatives
Governance		
Sustaining an ethical business environment for stakeholders	100% Compliance – Applicable Laws Target is to be compliant with all applicable laws to the extent that the Company is not exposed to any major penalties or risks Target is also to abide by the non-bribery, anti-corruption policy of the Company Code of Conduct: 100% supplier compliance with ELGi's Business Code of Conduct by x date	- No known incidents of non-bribery and anti-corruption at present - Updating the checklists periodically. - Having clear cut timelines for stakeholders for closing non-compliant items with minimum/no liability to the Company - Supply chain is expected to accept and follow ELGi's code of conduct
Inclusive ESG Governance	ESG Review Mechanism To formalise 'monitor and review system' of the ESG performance at regular intervals Environment & Social Recommendations To implement feedback/recommendation on 'E' & 'S' aspects from proxy advisors/investors/analysts ESG Rating To constantly improve ESG ratings/score YoY	- Effective, accountable and transparent governance at all levels - Ensuring responsive, inclusive, participatory and representative decision-making at all levels - ELGi has a gender-neutral hiring policy

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/Committee of the Board/Any other Committee	Frequency (Annually/Half yearly/Quarterly/Any other – please specify)
	P 1 P 2 P 3 P 4 P 5 P 6 P 7 P 8 P 9	P 1 P 2 P 3 P 4 P 5 P 6 P 7 P 8 P 9
Performance against above policies and follow up action	Yes, by the Managing Director	Annually
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Yes, by the Audit Committee of the Board	Quarterly

11. Has the entity carried out independent assessment/evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency

P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
No	No	No	No	No	No	No	No	No

12. If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
The entity does not consider the Principles material to its business (Yes/No)						-			
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)						-			
The entity does not have the financial or/human and technical resources available for the task (Yes/No)						-			
It is planned to be done in the next financial year (Yes/No)						-			
Any other reason (please specify)						-			

Section C: Principle Wise Performance Disclosure

This section is aimed at helping entities demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorized as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every entity that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

PRINCIPLE 1: BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH INTEGRITY, AND IN A MANNER THAT IS ETHICAL, TRANSPARENT AND ACCOUNTABLE.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	4	- Adoption of new policies towards environmental, social and governance (“ESG”) covering Human Rights Policy, Anti-Bribery Policy and Supplier Code of Conduct - Presentation on ESG reporting - Presentation on Asia pacific whistleblowing landscape – benchmarking & best practices - Strategic Business Plan - Insider trading prevention - CSR amendments - Status of legal cases across the globe and their criticality - Board members are made aware of the Company’s initiatives and are monitoring them	100%
Key Managerial Personnel	1	Insider trading prevention: Awareness has been and made known the boundaries of trading in Company’s securities	100%
Employees other than BoD and KMPs	1	Insider trading prevention: Awareness has been and made known the boundaries of trading in Company’s securities.	100%
Workers	32	Whistle blower, POSH Refresher, Total Productive Maintenance, Jishu Hozen & Health Safety and Environment, Training for Self-Managed Teams (SMT), Product & Quality related trainings	75%

2. **Details of fines/penalties/punishment/award/compounding fees/settlement amount paid in proceedings (by the entity or by directors/KMPs) with regulators/law enforcement agencies/judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):**

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine			NIL		
Settlement					
Compounding fee					
Non-Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)	
Imprisonment			NIL		
Punishment					

3. **Of the instances disclosed in Question 2 above, details of the Appeal/Revision preferred in cases where monetary or non-monetary action has been appealed.**

Case Details	Name of the regulatory/enforcement agencies/judicial institutions
NA	NA

4. **Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.**

Yes. The Anti-Bribery Policy prohibits bribery of government officials as well as private sector, including the offering, promising, authorizing or providing anything of value to any customer, business partner, vendor or other third party in order to induce or reward the improper performance of an activity connected with the Company's business. Web-link to the policy is <https://www.elgi.com/in/policies/antibribery-policy.pdf>.

5. **Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/corruption:**

	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Directors	Nil	Nil
KMPs		
Employees		
Workers		

6. Details of complaints with regard to conflict of interest:

	FY 2022-23 (Current Financial Year)		FY 2021-22 (Previous Financial Year)	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	Nil	Nil	Nil	Nil
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines/penalties/action taken by regulators/law enforcement agencies/judicial institutions, on cases of corruption and conflicts of interest.

Not applicable

Leadership Indicators**1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:**

NIL

2. Does the entity have processes in place to avoid/manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the Company has a policy for Determining Material Related Party Transactions to ensure that there is no conflict of interest inflicting any apprehension in the minds of its stakeholders, the Company's Board, which may arise during the course of its business activities. The same is available at <https://www.elgi.com/in/policies/rpt-policy.pdf>.

Related party transactions are entered with the prior approval of Audit Committee. All related party transactions are at arm's length and in the ordinary course of business. Further, the Company also has a Code of Conduct in place for Directors, Senior Management, and Independent Directors, which affirms them to disclose the potential conflicts of interest that they may have regarding any matters that may come before the Board. The Directors disclose their interest in other entities annually and as and when there are changes, and the same is noted by the Board.

PRINCIPLE 2: BUSINESSES SHOULD PROVIDE GOODS AND SERVICES IN A MANNER THAT IS SUSTAINABLE AND SAFE**Essential Indicators****1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)	Details of improvements in environmental and social impacts
R&D	23%	23%	Specific Power Consumption (SPC) improved on an average 4%. This will lower overall energy consumption by 4%
Capex	53%	5%	Refrigerant Air Driers replacing Hydrofluorocarbons (HFC) based refrigerants with Hydrofluro-Olefins (HFO) refrigerants developed

2. a. Does the entity have procedures in place for sustainable sourcing?

No

b. If yes, what percentage of inputs were sourced sustainably?

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for

a. Plastics (including packaging)

b. E-waste

c. Hazardous waste and

d. other waste.

Minimum quantities of e-waste, hazardous wastes that are generated are disposed off as per prescribed Rules and Regulations.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Not applicable

PRINCIPLE 3: BUSINESSES SHOULD RESPECT AND PROMOTE THE WELL-BEING OF ALL EMPLOYEES, INCLUDING THOSE IN THEIR VALUE CHAINS

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	796	796	100%	796	100%	NA	NA	796	100%	796	100%
Female	53	53	100%	53	100%	53	100%	NA	NA	53	100%
Total	849	849	100%	849	100%	53	100%	796	100%	849	100%
Other than Permanent employees											
Male	NIL										
Female											
Total											

b. Details of measures for the well-being of workers:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	409	409	100%	409	100%	NA	NA	409	100%	409	100%
Female	-	-	-	-	-	-	-	-	-	-	-
Total	409	409	100%	409	100%	NA	NA	409	100%	409	100%
Other than Permanent employees											
Male	49	49	100%	49	100%	NA	NA	49	100%	49	100%
Female	30	30	100%	30	100%	30	100%	NA	NA	30	100%
Total	79	79	100%	79	100%	30	100%	79	100%	79	100%

2. Details of retirement benefits, for Current FY and Previous Financial Year

Benefits	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%		Y	100%		Y
Gratuity						
ESI						
Others – Group Medical Insurance						

3. Accessibility of workplaces

Are the premises/offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

We continue improving the infrastructure at all our campuses to enable universal access for persons with disabilities. Ramps are being made available for easy access to workplaces; specially designed rest rooms; wheelchairs on calls.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy

Yes, Elgi has an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016. As an inclusive employer, Elgi actively encourages the recruitment, development, and retention of people with disabilities, provides equal opportunity in the workplace, and is committed to providing a safe, accessible, and healthy work environment. Equal Opportunity policy is available in the intranet of the Company.

5. Return to work and Retention rates of permanent employees and workers that took parental leave

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	NA		NA	
Female	100%		100%	
Total	100%		100%	

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	- Whistle Blower Policy – Employee can post their grievance in the link communicated through awareness sessions; the committee will redress the grievances as per the policy guidelines. - Employee Communication Meeting – this is open meeting where employee can raise grievance directly to MD. - Suggestion Box – Boxes are kept in the common places viz. canteen, etc. where employee drop their grievances with or without mentioning their names; the committee will communicate the grievance and status in the employee communication meeting. - Performance Management Feedback – the link is communicated to Permanent employees after release of increment every year. The individuals are posted on the status of the feedback by HR.
Other than Permanent Workers	
Permanent Employees	
Other than Permanent Employees	

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	Total employees/ workers in respective category (A)	No. of employees/ workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees/ workers in respective category (C)	No. of employees/ workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	None			None		
- Male						
- Female						
Total Permanent Workers						
- Male						
- Female						

8. Details of training given to employees and workers:

Category	FY 2022-23 (Current Financial Year)					FY 2021-22 (Previous Financial Year)				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	796	796	100%	796	100%	825	825	100%	495	60%
Female	53	53	100%	53	100%	49	49	100%	29	60%
Total	849	849	100%	849	100%	874	874	100%	524	60%
Workers										
Male	458	458	100%	458	100%	471	471	100%	282	60%
Female	30	30	100%	30	100%	33	33	100%	19	60%
Total	488	488	100%	488	100%	504	504	100%	301	60%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	796	796	100%	825	825	100%
Female	53	53	100%	49	49	100%
Total	849	849	100%	874	874	100%
Workers						
Male	458	458	100%	471	471	100%
Female	30	30	100%	33	33	100%
Total	488	488	100%	504	504	100%

10. Health and safety management system:**a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/No). If yes, the coverage such system?**

Yes.

Detailed risk assessment has been done for all the operations within the facility, and appropriate control measures are implemented to mitigate the identified risks/hazards. All our buildings are equipped with firefighting systems. Employees and contractual staff receive regular training through various simulation exercises to raise their safety awareness. Safety posters are displayed across the premises to create awareness among employees. Periodical Safety awareness training given for shop floor employees, Specific Safety syllabus subject for Elgi Vocational Training School ("EVTS") and we are validating their performance by conducting the exams.

ISO 14001 (Environment Management system) & 45001 (Safety Management system) are in practice.

Employee Health is being monitored periodically.

We understand that employee well-being is essential to maintaining our leading business performance. We constantly update and improve the range of physical, mental, and emotional support we provide to our employees.

The coronavirus pandemic presented an unprecedented global health challenge. An extensive health, safety, and people engagement program was implemented for the employees. This includes hospitalization, isolation and medical support, wellness counselling services, best practices for employees and workplace safety, travel restrictions, awareness, and COVID-specific insurance coverage for the employees.

b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Risk assessment has always been an integral part of ELGi's Health and Safety Management System and includes the identification of hazards, the complexity of the operations, suitability of the methodologies of risk assessment, workplace conditions, and expert guidance. We conduct periodic as well as annual assessments of our campuses/offices as a part of this process.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N) : Yes

d. Do the employees/worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

All our employees and their families have access to non-occupational medical and healthcare services.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	2	3
	Workers	0.44	0.69
Total recordable work-related injuries	Employees	-	-
	Workers	2	3
No. of fatalities	Employees	-	-
	Workers	-	-
High consequence work-related injury or ill-health (excluding fatalities)	Employees	-	-
	Workers	2	3

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

At ELGi, our top priority has always been to ensure the safety and health of our team while safeguarding the interests of the communities in which we operate and the clients we serve. Throughout the year, we have strived to keep the health and safety at the forefront as we grapple with the pandemic. There have been key infrastructure enhancements to ensure adequate sanitization stations, minimal contact with bare surfaces, thermal scanning at key access areas, and effective prompts to maintain social distancing.

Identification and mitigation of Hazard Identification & Risk Assessment (HIRA)

- All manufacturing plants are certified for ISO 45001:2018 Standards (Safety Management System) except motor plant
- Separate Safety syllabus included in EVTS batch and conducting classes
- TUV Nord audited Safety Management System for the plants
- Sustain the practice of identification and mitigation of HIRA
- Safety tag system needs to be executed for SMT in shop floor at Sunrise meet
- Identify the safety training need for workforce on a regular basis
- Create awareness among employees on safety and accident Hot spots through training and safety circles
- Periodical Senior Management review

13. Number of Complaints on the following made by employees and workers:

	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	-	-	-	-	-	-
Health & Safety	975	0	-	493	0	-

14. Assessments for the year

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100
Working Conditions	100

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks/concerns arising from assessments of health & safety practices and working conditions

At ELGi, we have established Environmental Health and Safety policy and emphasize on the importance of maintaining a safe and healthy workplace for all employees & partners who work on our premises. We are also executing Safety Poka yoke for all rotating part of the machines.

PRINCIPLE 4: BUSINESSES SHOULD RESPECT THE INTERESTS OF AND BE RESPONSIVE TO ALL ITS STAKEHOLDERS**Essential Indicators****1. Describe the processes for identifying key stakeholder groups of the entity.**

We are an organization born inclusive in nature and purpose. Since our inception, we have included diverse segments of people in our talent pool, contributed to social causes even in tough business climates, treated suppliers like our partners and our customers with dedicated commitment, all along driven by our inclusive values and principles. They indicate how Elgi extended its inclusivity to larger stakeholders from the beginning with its insistence on stakeholder identification and engagement.

Sustainability framework brought a formal process to the philosophy already being practiced at ELGi. Stakeholder consultation on sustainability aspects formed a key part of the exercise. The vast range of stakeholder forums bringing in constant inputs and feedback, we realize, is a great way to link materiality to stakeholder concerns on the one hand and for material goal setting and strategizing on the other hand.

ELGi identifies and prioritizes its key stakeholder segments based on their impact on the organization and the organization's impact on them. We constantly engage with all our stakeholders. We collect stakeholder concerns, which in turn act as inputs for our policies, strategies, actions, and materiality assessment.

Our exercise of identification and prioritization of stakeholders has shown us several segments to be constantly engaged with. This helps us be in touch with their concerns and expectations in a two-way dialogue. This also work as a source of critical stakeholder feedback for us. Elgi keeps evolving these engagement methods periodically, revamping and refining them as per the needs and requirements of the stakeholders and the business.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder's Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly/others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Employees	No	- Internal communication channels including digital platforms Skill development programs with external partners - Total Employee Involvement initiatives	Bi-monthly	- Continuous value creation - Fulfilment of Company's vision and working towards #alwaysbetter life - Professional capacity building - Talent attraction and retention
Customers	No	- Digital platforms and applications - In-person engagement - Reference installations - Feedback mechanisms	As and when required	- Product and service quality - Complaint resolution - On-time delivery - Product safety
Dealerships and Distributors	No	- Dealer meets/conferences - In-person engagement - Digital engagement	As and when required	- Achieving business targets and objectives - Continuous strengthening of ELGi brand - Capacity/capability building
Supply partner	No		As and when required	- Ethical business practices - Sourcing aligned with Sustainable Sourcing Plan - Capability and capacity building
Local communities	Yes	Corporate Social Responsibility initiatives	As and when required	- Enhanced quality of life via improved access to healthcare, education and skill development - Disaster relief (as required)
NGO partner	No	Corporate Social Responsibility initiatives		- Capacity enhancement - Achieving CSR objectives
Investors	No	- Press releases and publications - Investor conferences - Annual General Meeting - Stock Exchange announcements		- Financial performance - Business updates - Growth plans - ESG performance
Regulators	No	Mandatory compliance reports		Statutory compliance requirements: governance, social, environmental
Banks	No	In person meetings		- Transparent financial transactions - Timely repayment of debt

PRINCIPLE 5: BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS**Essential Indicators**

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	Total (A)	No. of employees/ workers covered (B)	% (B/A)	Total (C)	No. of employees/ workers covered (D)	% (D/C)
Employees						
Permanent	849	849	100%	874	874	100%
Other than permanent	-	-	-	-	-	-
Total Employees	849	849	100%	874	874	100%
Workers						
Permanent	409	409	100%	379	-	-
Other than permanent	79	79	100%	125	-	-
Total Workers	488	488	100%	504	-	-

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2022-23 (Current Financial Year)					FY 2021-22 (Previous Financial Year)				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Male	796			796	825				825	
Female	53			53	49				49	
Other than permanent										
Male	-			-	-				-	
Female	-			-	-				-	
Workers										
Permanent										
Male	409			409	379				379	
Female	-			-	-				-	
Other than permanent										
Male	40			40	92				92	
Female	39			39	33				33	

3. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/salary/wages of respective category (Amount in ₹)	Number	Median remuneration/salary/wages of respective category (Amount in ₹)
Board of Directors (BoD)	8	3,05,000	1	-
Key Managerial Personnel	3	2,10,50,070	-	-
Employees other than BoD and KMP	797	10,27,347	53	8,83,599
Workers	409	8,31,012	-	-

4. Do you have a focal point (Individual/Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. Responsibility for addressing human rights impacts or issues will be through cross-functional teams of Human Resources (in so far as inculcating the principles within employees) and Operations (for inculcating the principles to Company's suppliers/service providers). Overall guidance shall be provided by the legal team and any external consultant that the Company may engage.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Stakeholders may contact the Chief Human Resources Officer, Director-Operations or the Internal Auditor under the Whistle blower Policy if they have any concerns, grievances or complaints. The Company is committed to investigating, addressing and responding to any concerns raised, taking appropriate corrective action when required, tracking the progress and communicating with stakeholders about human rights issues within timelines, if any prescribed under the whistle blower policy or under the relevant law.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23 (Current Financial Year)			FY 2021-22 (Previous Financial Year)		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	Nil	Nil		1	1	Closed during December 2022
Discrimination at workplace	Nil	Nil		Nil	Nil	
Child Labour	Nil	Nil		Nil	Nil	
Forced Labour/ Involuntary Labour	Nil	Nil		Nil	Nil	
Wages	Nil	Nil		Nil	Nil	
Other human rights related issues	Nil	Nil		Nil	Nil	

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company's policy on sexual harassment confirms that the complainant will not be victimised merely because a complaint was preferred. The management monitors complaints until closure to ensure that there is no discrimination. There is a communication to the employees in the communication meeting about our policies on discrimination and harassment cases.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, as part of our Supplier Code of Conduct in all our procurement contracts.

9. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties) *
Child labour	100% (There is no child labour)
Forced/involuntary labour	100% (There is no forced/involuntary labour)
Sexual harassment	100% (There is no complaint)
Discrimination at workplace	100% (There is no complaint)
Wages	100%
Others – please specify	Nil

*Assessment was done by the Company

10. Provide details of any corrective actions taken or underway to address significant risks/concerns arising from the assessments at Question 9 above.

Not applicable

PRINCIPLE 6: BUSINESSES SHOULD RESPECT AND MAKE EFFORTS TO PROTECT AND RESTORE THE ENVIRONMENT**Essential Indicators****1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total electricity consumption (A)	55308	56050
Total fuel consumption (B)	24011	24802
Energy consumption through other sources (C)	0	0
Total energy consumption (A+B+C)	79319	80852
Energy intensity per rupee of turnover (Total energy consumption/turnover in rupees)	5.09	5.18
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? (Y/N)
If yes, name of the external agency.

2. Does the entity have any sites/facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	-
(ii) Groundwater	20475	17250
(iii) Third party water	16143	23878
(iv) Seawater/desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	36618	41128
Total volume of water consumption (in kilolitres)	36618	41128
Water intensity per rupee of turnover (Water consumed/turnover)	2.1	2.6
Water intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? No(Y/N) If yes, name of the external agency.

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

No

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
NOx	Tonne/Million of sales	0.00006	0.00006
SOx	Tonne/Million of sales	0.00004	0.00004
Particulate matter (PM)	Tonne/Million of sales	0.00004	0.0006
Persistent organic pollutants (POP)	NA	-	-
Volatile organic compounds (VOC)	Tonne/Million of sales	0.00002	0.00003
Hazardous air pollutants (HAP)	NA	-	-
Others – please specify	NA	-	-

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? No(Y/N) If yes, name of the external agency.

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	<i>Metric tonnes of CO₂ equivalent</i>	NA	NA
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	-	NA	NA
Total Scope 1 and Scope 2 emissions per rupee of turnover	-	828 Kg Co ₂ /Mn of sale	846 Kg Co ₂ /Mn of sale
Total Scope 1 and Scope 2 emission intensity (<i>optional</i>) – the relevant metric may be selected by the entity	-	NA	NA

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? No (Y/N) If yes, name of the external agency.

7. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

No

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Total Waste generated (in metric tonnes)		
Plastic waste (A)	85	64
E-waste (B)	5	3.34
Bio-medical waste (C)	0.03	0.03
Construction and demolition waste (D)	-	-
Battery waste (E)	13	9.5
Radioactive waste (F)	0	
Other Hazardous waste. Please specify, if any. (G)	116	145
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e., by materials relevant to the sector)	3803	3432
Total (A+B + C + D + E + F + G + H)	4022.03	3653.87

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Category of waste		
(i) Recycled	2246	1854.34
(ii) Re-used	1724	1363.5
(iii) Other recovery operations	52.03	436.03
Total	4022.03	3653.87

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)

Category of waste		
(i) Incineration	868	489.03
(ii) Landfilling	-	-
(iii) Other disposal operations	3154.03	3164.84
Total	4022.03	3653.87

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency? NO (Y/N) If yes, name of the external agency.

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The following activities are done:

Foundry waste sand Zero land fill (ZLF)

Waste Recycle-Foundry Waste Sand - 225 Kg of foundry waste sand generation/Tonne of casting used as a Bi-product (Solid blocks)

Initiatives:

- Sustaining the efforts of brick making and support community development initiatives
- Utilizing the wastes for RCC concrete application
- Converting and utilizing for interlock bricks

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals/clearances are required, please specify details in the following format: Not applicable

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year: Not Applicable

12. Is the entity compliant with the applicable environmental law/regulations/guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder: Yes

Leadership Indicators

1. Provide break-up of the total energy consumed (in Joules or multiples) from renewable and non-renewable sources, in the following format:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
From renewable sources		
Total electricity consumption (A)	8842	4453
Total fuel consumption (B)	-	-
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	8842	4453
From non-renewable sources		
Total electricity consumption (D)	55308	56050
Total fuel consumption (E)	24693	24802
Energy consumption through other sources (F)	-	-
Total energy consumed from non-renewable sources (D+E+F)	80001	80852

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? NO (Y/N) If yes, name of the external agency.

2. Provide the following details related to water discharged:

Parameter	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Water discharge by destination and level of treatment (in kilolitres)		
(i) Into Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) Into Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment (After treatment water is being used for gardening)	19751	20898
(iii) Into Seawater	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties	-	-
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(v) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
Total water discharged (in kilolitres)	19751	20898

Note: Indicate if any independent assessment/evaluation/assurance has been carried out by an external agency?
NO (Y/N) If yes, name of the external agency.

Fresh water reduction from 2.20 KL/Mn of Sale to 1.10 KL/Mn of Sale

3. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities. No**4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/effluent discharge/waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:**

Sr. No.	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1	Usage of Energy efficient motors in products	Prime mover used in products for driving Air end has been replaced with highly energy efficient motors manufactured in-house. (Motor division Plant)	Energy Efficient motor installed in various product capacity of 28,934 KW with 1600 Nos of motors
2	Elimination of transformers in Mechanical Generator (In House) sets	Tapping transformers of capacity upto 315 KVA are used in Mg sets for 60Hz testing with various different voltages. Recent MG sets are installed without tapping transformers in MG sets by technology modification in generator controls. (recently two 90KW MG sets are installed)	DG Operations not required and saved the HSD of 25,000 Lts/Year
3	Green Product certificate for the product	Obtained green product certification for the selected products after fulfilling all requirements	EN/EG Series, specific Product
4	Effluent Treatment Plant	Convert the CNC machine used coolant for processing to segregate the Hazardous	Take back the original water from the coolant – 100 KL/Year

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/web link.

The Company does not possess a detailed disaster recovery and business continuity plan but is actively addressing the same as work in progress.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard. None**7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.** None**PRINCIPLE 7: BUSINESSES, WHEN ENGAGING IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A MANNER THAT IS RESPONSIBLE AND TRANSPARENT****Essential Indicators****1. a) Number of affiliations with trade and industry chambers/associations.** Six**b) List the top 10 trade and industry chambers/associations (determined based on the total members of such body) the entity is a member of/affiliated to.**

S. No.	Name of the trade and industry chambers/associations	Reach of trade and industry chambers/associations (State/National)
1	Indo Australian Chamber of Commerce	International
2	India Asia Srilanka Chamber of Commerce and Industries	International
3	Indo German Chamber of Commerce and Industries	International
4	Indo Italian Chamber of Commerce and Industries	International
5	Indian Chamber of Commerce and Industries	National
6	Confederation of Indian Industry (CII)	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Name of authority	Brief of the case	Corrective action taken
None		

PRINCIPLE 8: BUSINESSES SHOULD PROMOTE INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT**Essential Indicators****1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.** SIA is not done as the Company is not statutorily required to undertake it as on date**2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:** Not applicable**3. Describe the mechanisms to receive and redress grievances of the community.**

Community can raise their grievances through the whistle blower mechanism.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2022-23 (Current Financial Year)	FY 2021-22 (Previous Financial Year)
Directly sourced from MSMEs/small producers	34%	37%
Sourced directly from within the district and neighbouring districts*	34%	32%

*Note: Considered the suppliers within Tamil Nadu and excluded MSME suppliers.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above): NIL
2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies: NIL
3. a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized/vulnerable groups? (Yes/No) Not Applicable
b) From which marginalized/vulnerable groups do you procure? NIL
c) What percentage of total procurement (by value) does it constitute? NIL
4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/Acquired (Yes/No)	Benefit shared (Yes/No)	Basis of calculating benefit share
1	AB series development for Oil free compressor applications	Owned	Yes	There is no methodology established at this point for calculating benefits. However, based on application, testing and customer experience the product is beneficial over contemporary products
2	Intelligent control system for DPSAC application	Owned	Yes	

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved. NA
6. Details of beneficiaries of CSR Projects:
Societal development through high-quality education for the economically challenged

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Achieve academic excellence by improving subject average marks year on year in Std XII Board examinations	1,312 students during the year 2022-23	40% of students now from low-income families i.e. ₹2 lakhs p.a. or less • 13 orphan children
2	Academic development through building competencies that enable achievement of high average of total marks year on year in Std XII Board examinations		
3	To increase the proportion of children from low-income families year on year		

PRINCIPLE 9: BUSINESSES SHOULD ENGAGE WITH AND PROVIDE VALUE TO THEIR CONSUMERS IN A RESPONSIBLE MANNER

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Company has an on-line system of addressing consumer complaints that are attended to promptly. The Company has a strong customer care system in place with clear benchmarked targets for on time and reliable resolution with built escalation process. Since the complaints redressal mechanism is an on-going process, the number of complaints at any given point in time may not convey the correct picture. The Company strives to resolve all complaints to the satisfaction of its customers.

2. Turnover of products and/services as a percentage of turnover from all products/service that carry information about:

	As a percentage to total turnover
Environmental and social parameters relevant to the product	To be established
Safe and responsible usage	To be established
Recycling and/or safe disposal	To be established

3. Number of consumer complaints in respect of the following:

	FY 2022-23 (Current Financial Year)		Remarks	FY 2021-22 (Previous Financial Year)		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	NIL	NIL	NIL	NIL	NIL	NIL
Advertising						
Cyber-security						
Delivery of essential services						
Restrictive Trade Practices						
Unfair Trade Practices						
Other						

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary recalls	NIL	
Forced recalls		

5. Does the entity have a framework/policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes : <https://www.elgi.com/in/privacy-policy/>

Information Security policy is available in the Company's intranet.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty/action taken by regulatory authorities on safety of products/services.

No incidents reported.

Leadership Indicators

- Channels/platforms where information on products and services of the entity can be accessed (provide web link, if available).**
- Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.**
- Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.**

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products/services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

All products carry a metallic name plate that will have details of basic data required, as per CE norms that are captured and incorporated

1. Model number - Yes
2. Operating pressure - Yes
3. Flow - Yes
4. Fab no - Yes
5. Manufacturing year - Yes
6. Industry standards – Like CE marking - Yes
 - In packing
 - a) Box dimensions (wherever applicable) - Yes
 - b) Weight (wherever applicable) - Yes
 - c) Total no. of boxes (wherever applicable) - Yes
 - d) Packing slip no. (wherever applicable) - Yes
 - e) Customer name – No
 - f) Item - Yes
 - g) Description - Yes
 - h) MRP (Wherever applicable) - Yes
 - i) Month/year (Wherever applicable) - Yes

In addition to the above, the Company is following ISO 3864 for safety decals and ISO 7010 for icons used in the safety decals that are used in the compressors.

5. Provide the following information relating to data breaches:

a. Number of instances of data breaches along-with impact

No Instances reported

b. Percentage of data breaches involving personally identifiable information of customers

None